# The Exit That's Always Open: In-Kind Redemptions on Morpho Vaults

The number one fear in DeFi lending is simple: "What if I can't get my money out?" Morpho's Vault V2 answers it with a mechanism borrowed from the ETF world. Here's how it works — no code required.

## First, what a vault actually does with your money

When you deposit into a Morpho vault, your money doesn't sit in a box. A professional called a **curator** spreads it across lending markets, where borrowers pay interest to use it. That interest is where your yield comes from. In exchange for your deposit, you receive **vault shares** — a receipt proving your slice of everything the vault owns.

This is also why withdrawals can occasionally stall. If most of the vault's money is currently lent out and earning, there may not be enough sitting idle to hand you cash on the spot. In traditional finance, that's when you'd hear the dreaded words: "withdrawals are temporarily suspended."

## The problem in-kind redemption solves

In most pooled products — bank deposits, some funds, many crypto platforms — your exit depends on someone else's decision or someone else's liquidity. If the manager freezes redemptions, or lots of people rush for the door at once, you wait. Sometimes for a very long time.

Morpho Vault V2 was designed so that **your exit never depends on the curator, the vault's managers, or anyone's permission**. Even if the vault has zero cash available, you can still leave. The mechanism that guarantees this is called **in-kind redemption**.

> THE ETF ANALOGY
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> Large investors in an ETF can always swap their ETF shares for the actual stocks inside the fund, instead of waiting for cash. Morpho vaults work the same way: if cash isn't available, you can swap your vault shares for the vault's actual holdings — a direct position in the lending market your money was sitting in. You don't get cash; you get *the thing the cash was invested in*, which you then hold or withdraw yourself.

## What actually happens when you exit in-kind

Under the hood there's some financial machinery (a "flash loan" — a borrow-and-repay that happens within a single transaction, like a bridge that exists only while you're crossing it). But the effect is easy to follow:

1. **You decide to leave, and the vault has no idle cash**
   Normally you'd be stuck waiting. Instead, you (or an app doing this for you) trigger the in-kind exit.

2. **Temporary liquidity is borrowed for a few seconds**
   A flash loan supplies the cash the vault is missing — it's borrowed and repaid within the same transaction, so there's no lasting debt and no lender to negotiate with.

3. **Your vault shares are swapped for the vault's underlying position**
   The vault releases your portion of its holdings in the underlying lending market. Anyone is allowed to trigger this — it's built into the contract and no one can switch it off.

4. **You walk away holding a direct position**
   You're no longer a vault depositor. You now hold your money's position in the underlying market directly, in your own wallet — yours to keep, or withdraw as that market's liquidity allows.

The key point: at no step did you need the curator's cooperation, the vault's cash, or anyone's approval. The escape hatch is written into the smart contract itself, and the contracts are **immutable** — nobody can upgrade them later to remove it.

## The fine print (because there always is some)

KNOW BEFORE YOU RELY ON IT

- **A small penalty may apply — up to 2%.** This exists to stop people from abusing the emergency exit to game the vault. It makes leaving slightly costly, never impossible. Think of it as an emergency-exit fee, not a lock.
- **You receive a position, not cash.** If the underlying market is also illiquid, you may hold that position until borrowers repay. You've escaped the vault, but you're still invested until you unwind the position.
- **Some vaults have "gates."** A minority of vaults (typically institutional ones with KYC requirements) can restrict who deposits and withdraws. On a gated vault, the always-open-exit guarantee can be weaker — check before depositing.
- **In practice, you'll rarely use this.** Day to day, vaults keep idle cash and liquid reserves for normal withdrawals. In-kind redemption is the fire escape, not the front door.

## Why this matters more than the yield number

Most people compare vaults by APY. But the difference between a real DeFi vault and the platforms that collapsed in past cycles was never the advertised rate — it was **who controls the exit.** Celsius and FTX depositors learned that "your money is safe" means nothing if withdrawal is a button someone else can disable.

In-kind redemption inverts that. On a Morpho vault, the worst case isn't "funds frozen indefinitely." The worst case is "you pay a fee of up to 2% and take direct ownership of where your money was invested." That's a fundamentally different risk — and it's enforced by code that can't be amended, not by a promise.

When you evaluate any vault, ask one question before you ask about yield: **if everything goes wrong, can I still leave without anyone's permission?** On Morpho Vault V2, the answer is yes — and that's what "non-custodial" actually means.

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This explainer describes the mechanism at a conceptual level; technical readers can find the full detail in the Morpho Vault V2 documentation at docs.morpho.org. Nothing here is investment advice — always assess a specific vault's curator, markets, and gate configuration before depositing.